



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: BBA

Semester: VI

Name of the Paper: Corporate Tax Planning

Paper Code: BBA DSE P3

Time: 1 hour 30 minutes

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub-questions
- (ii) Each question carries 10 marks.

Q1.

(10 Marks) CO1

- a. What is meant by a 'taxable person'?
- OR
- b. What is meant by Income under the Income Tax Act 1961?

Q2.

(10 Marks) CO1

- a. Describe the following terms commonly used in taxation-Tax Exemption, Tax Deduction and Tax Rebate mentioning the relevant sections of the Income Tax Act.
- OR
- b. Differentiate between Direct Tax and Indirect Tax.

Q3.

(10 Marks) CO1

- a) Explain difference among the terms Tax Planning, Tax Evasion and Tax Avoidance.
- OR

- b) Highlight the objectives of Tax Planning.

Q4.

(10 Marks) CO2

- a) Three companies raised the capital as under:

	Company 1	Company 2	Company 3
	Rs	Rs	Rs
Capital	200000	160000	40000
	-----	40000	160000
Loan			
Total Investment	200000	200000	200000

Rate of Interest on Loan: 10%

Rate of Return: 25%, 10%, 8%

Rate of Tax: 26%

Explain with reason which of the three capital structure is best.

OR

- b) What are the tax planning related facts that are to be observed while deciding the capital structure of a company so that tax liability can be minimized

Q5.

(10 Marks) CO2

- a) What is meant by dividend, accumulated profits and bonus shares?

OR

- b) Write short notes on interim dividend, inter-corporate dividends.

•